



CAPITAL ALLOCATION & UNIT MARGIN AUDIT

Commanded by Warren Buffett (CFO) & Ram Charan | Sharma Industries

1. WARREN BUFFETT MOAT & PRICING POWER HURDLES

- Sovereign Profit Hurdle: Retain ₹100.00 Net Contribution per 25kg Swatch Rustic bag.
- Gross Margin Ratio: 60.8% Gross Margin at factory gate vs 40% industry average.
- Zero Tinting Machine Capex: Avoids ₹2,00,000 capital lockup per retail counter.
- PDC Underwriting: 30-day credit extended only against signed Post-Dated Cheques.

2. RAM CHARAN CASH VELOCITY PROTOCOL

- 2% Cash Discount (CD): Instant 2% invoice deduction if dealer settles payment within 7 days.
- Cash-to-Cash Cycle: Target < 18 days across Kota & Bundi retail accounts.
- Inventory Turnover: Target 14 turns per year enabled by ready-to-use 25kg pre-mixed bags.

3. WHOLESALE DISTRIBUTOR TERMS (SONU KUMAR)

- Distributor: Sonu Kumar (+91 9057501926) — Independent B2B Trade Distributor (Not on internal payroll).
- Wholesale Transfer Rate: ₹430.00 per 25kg bag | Committed Monthly Volume: 200 bags/month.
- Approved Territories: Bundi, Kota City, Talera, Dabi, Bijoliya, Baran, Rawatbhata, Nainwa, Deoli (City counters only).
- Zero Allowance Policy: No travel, TA/DA, sample kits or free merchandise.
- Sovereign Approval Rule: Dealer assignment strictly requires CEO Ashutosh Sharma admin approval.

